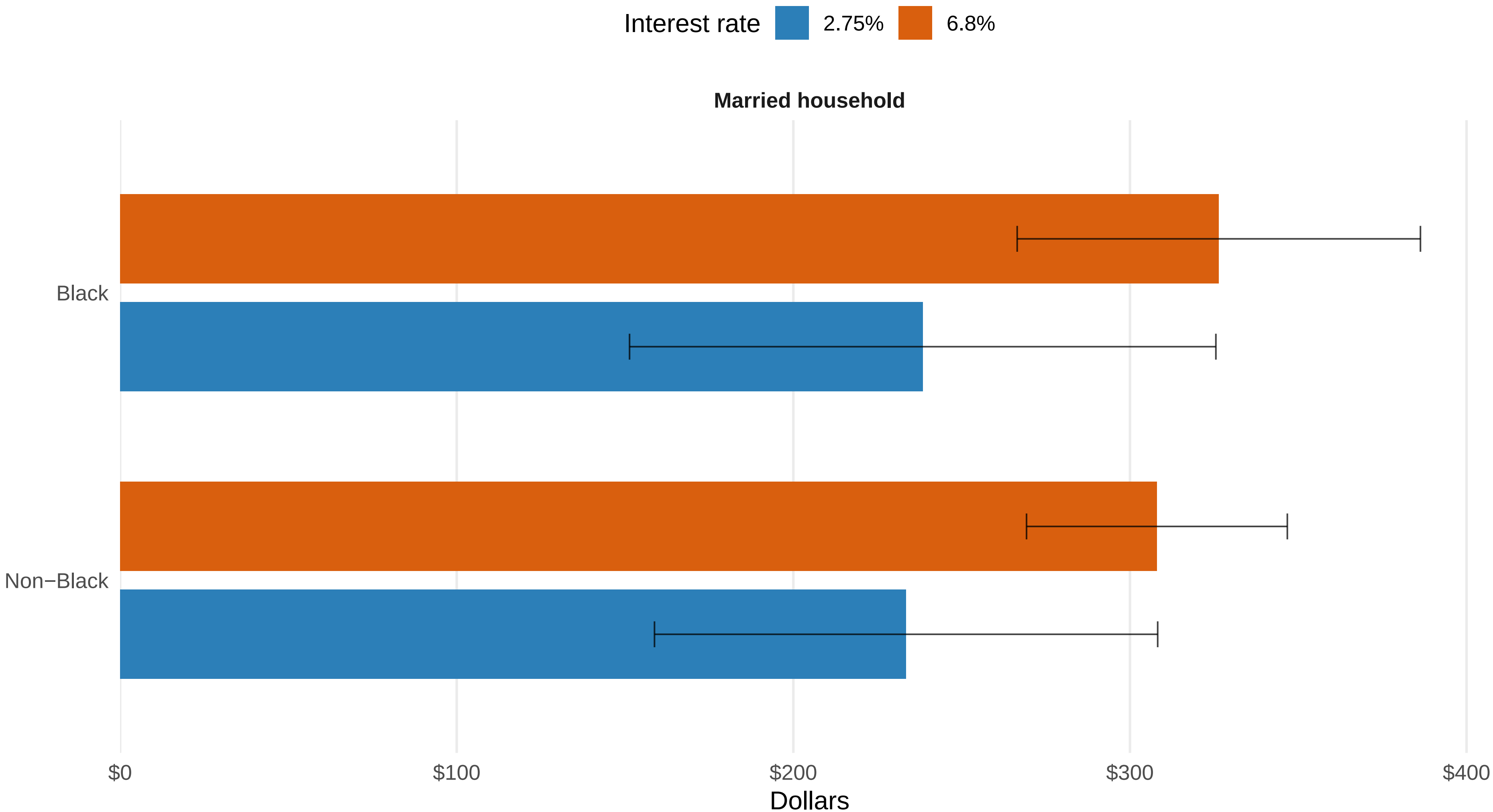
Figure 9: Married Borrowers Already at the Cap Would See the Largest Tax Savings

Estimated tax−savings gain from raising the married cap to $5,000 among married households already at the current $2,500 binding constraint.



Author's analysis of 2022 Survey of Consumer Finances data. Population: married households at the current $2,500 binding allowable−deduction constraint only. Tax savings equal allowable deduction times an estimated 2025 federal marginal tax rate. The 2.75% and 6.8% rates are the minimum and maximum undergraduate federal loan rates from 2000 through 2025; because borrower−specific loan terms are not observed, they show a plausible range of impacts. Error bars show 95% confidence intervals.